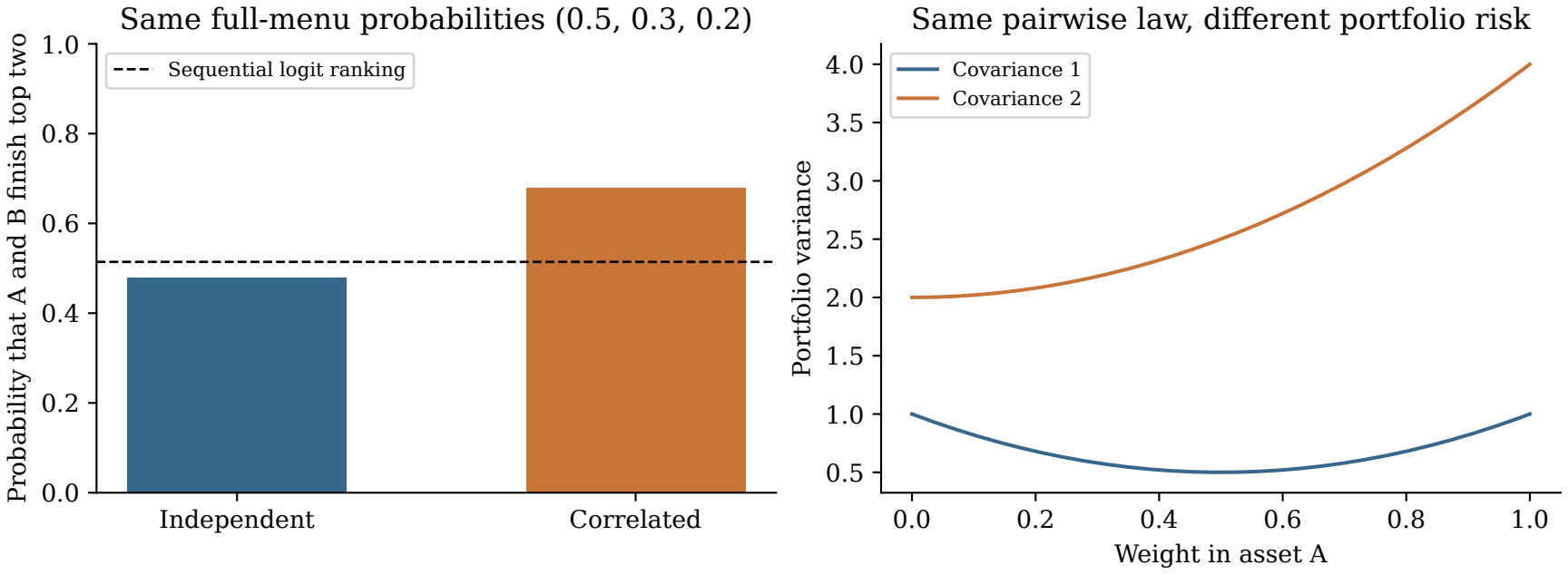
Same full-menu probabilities (0.5, 0.3, 0.2)
Probability that A and B finish top two
1.0
0.8
0.6
0.4
0.2
0.0
Sequential logit ranking
Independent
Correlated
Same pairwise law, different portfolio risk
Portfolio variance
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
Covariance 1
Covariance 2
0.0
0.2
0.4
0.6
0.8
1.0
Weight in asset A